Global Economic Prospects

WORLD BANK GROUP

HIGHLIGHTS from Chapter 2

Regional Outlooks

Key Points

- *Growth is projected to decelerate across all emerging market and developing economy (EMDE) regions in 2026, largely due to the Middle East conflict.*
- *Regional impacts differ based on energy exposure, strategic reserves and policy buffers.*
- *Fiscal positions are likely to worsen across regions, affecting the ability to reduce poverty and food insecurity, and create jobs.*
- *Recoveries are projected across all regions for 2027-28, driven by the decline in energy prices and the rebound in global trade.*
- *Risks to the regional prospects are tilted to the downside, including a protracted disruption in commodity markets, financial stress, persistent trade policy uncertainty, and weather-related shocks.*

Growth is forecast to slow in all EMDE regions in 2026, largely owing to the fallout from the conflict in the Middle East. The Middle East, North Africa, Afghanistan, and Pakistan (MNA) region faces the largest downgrade of 2.7 percentage points relative to January forecasts, resulting in the slowest growth across EMDE regions at 1.6 percent in 2026 (figure 1.A). The sharp slowdown reflects direct involvement in the conflict, infrastructure damage, and severe disruptions to trade and investment. South Asia (SAR) remains the fastest growing EMDE region in 2026, anchored by India's robust growth. Growth is projected to firm in all regions in 2027-28 on the assumption that peak conflict disruptions end in July and energy markets gradually recover.

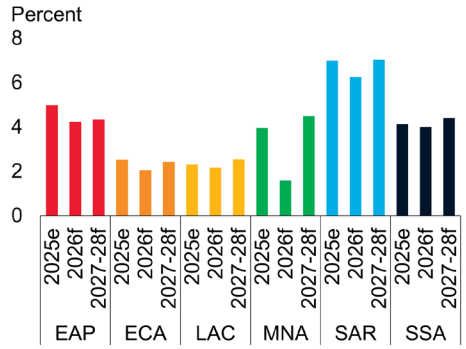
The conflict in the Middle East is affecting EMDE regions to varying degrees through multiple channels. The main channels of transmission include higher commodity prices, inflation, slower global trade, and tighter monetary conditions. Economies heavily reliant on energy imports from the Middle East, particularly those in East Asia and Pacific (EAP) and SAR that have limited buffers, are expected to face greater adverse growth effects compared to Latin America and Caribbean (LAC) and Sub-Saharan Africa (SSA), which are dominated by commodity exporters (figure 1.B). Higher fuel, food, and fertilizer costs are envisaged to add significantly to headline consumer inflation in the near term in MNA and SAR and keep food inflation elevated in Europe and Central Asia (ECA) and LAC (figure 1.C). The disruptions will also weigh on trade, tourism, and remittances, particularly in EAP, MNA, SAR, and SSA.

Policy responses will constrain fiscal positions compounding existing development challenges. Some countries, in ECA, SSA, and Asia, have tightened monetary policy in response to inflation, while others have deployed measures such as price caps, subsidies, demand and supply management, and trade barriers to shield households (figure 1.D). As governments take action to mitigate the effects of the conflict, fiscal positions are likely to worsen amid the subdued growth outlook and elevated debt levels, narrowing the space available for poverty reduction and job creation across regions (figure 1.E).

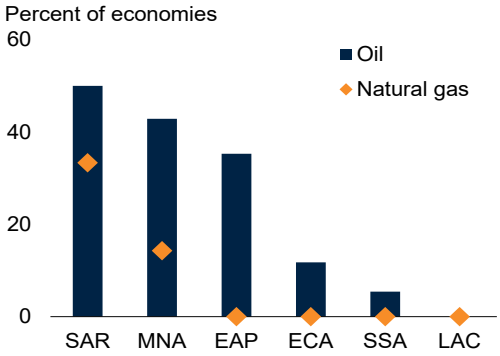
Risks to the outlook are tilted to the downside. A prolonged conflict or protracted disruptions to commodity markets would worsen outcomes across all regions. Higher food and energy prices would hurt lower-income households. This risks a further rise in poverty and food insecurity, particularly in SSA, where a high dependence on food imports coincides with high incidence of food insecurity (figure 1.F). Other risks include a potential repricing of artificial intelligence-related investments causing financial stress, persistent trade policy uncertainty dampening trade growth, and the increasing frequency of extreme weather events threatening agricultural output.

Figure 1. Regional outlooks

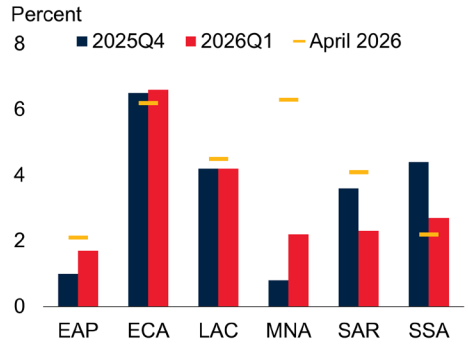
A. GDP growth forecasts



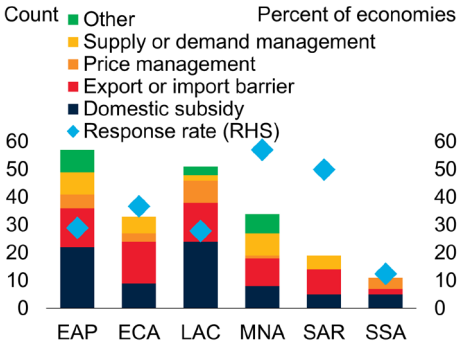
B. Dependence on Middle East energy imports



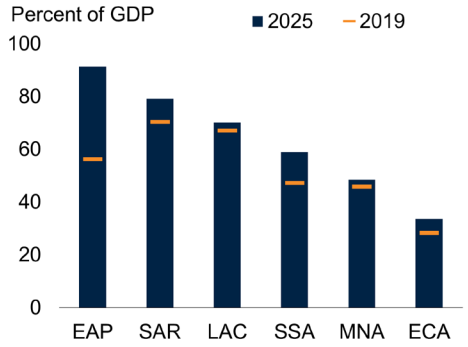
C. Food consumer price inflation



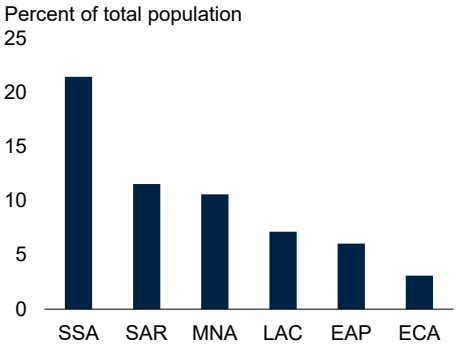
D. Policy responses to the energy shock



E. Government debt



F. Food insecurity



Sources: Gaulier and Zignago (2010); Global Trade Alert; Haver Analytics; Kose et al. (2022); World Food Security Outlook (database); World Bank.
Note: e = estimate; f = forecast. EAP = East Asia and Pacific; ECA = Europe and Central Asia; LAC = Latin America and the Caribbean; MNA = Middle East, North Africa, Afghanistan and Pakistan; SAR = South Asia; SSA = Sub-Saharan Africa.
A. GDP-weighted aggregate growth rates at average 2010–19 prices and market exchange rates. Growth rates for 2027–28 are annual averages.
B. Middle East includes Bahrain, the Islamic Republic of Iran, Iraq, Kuwait, Qatar, Saudi Arabia, and the United Arab Emirates. Bars (markers) show the share of economies by region that sourced more than 30 percent of their oil (natural gas) imports from the Middle East in 2023. Sample includes 108 (89) EMDEs for oil (natural gas).
C. Quarterly averages of regional medians of monthly year-on-year food inflation. Sample includes up to 8 EMDEs in EAP, 18 in ECA, 20 in LAC, 16 in MNA, 3 in SAR, and 24 in SSA. Last observation is April 2026.
D. Total count by type of policy responses to the energy shock triggered by the conflict by EMDE region. Sample includes 9 EMDEs in EAP, 11 in ECA, 12 in LAC, 12 in MNA, 3 in SAR, and 5 in SSA. Markers show the percentage of countries in each region that implemented at least one policy response. Last observation is May 29, 2026.
E. Aggregates computed as weighted averages using GDP in U.S. dollars as weights, based on data for up to 151 EMDEs (24 in EAP, 22 in ECA, 33 in LAC, 19 in MNA, 6 in SAR, and 47 in SSA).
F. Prevalence of severe food insecurity in the total population (percent, 3-year centered average). Values represent the regional median. Data are 2026 estimates.